

Q1 2025

Custom Managed Portfolios

Guardian Canadian Equity Income

Quick facts

Asset class:
Canadian Large Cap

Management style:
GARP¹

Number of holdings:
35

Sub-advisor:
Guardian Capital

Portfolio manager:
Aviso Wealth

Minimum investment:
\$150,000

Inception Date:
January 01, 2003



What does the strategy invest in?

This strategy will invest in equities of Canadian large capitalization companies that produce stable, predictable cash flows and distributions. The portfolio will generally consist of 30- 40 securities.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	5.1%	5.1%	13.7%	7.8%	17.2%	7.9%	11.3%
Benchmark ⁵	3.0%	3.0%	14.2%	5.1%	17.6%	8.0%	10.6%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	13.3%	8.9%	6.1%	31.0%	-6.2%	20.8%	-10.1%
Benchmark ⁵	15.7%	8.1%	0.6%	36.1%	-7.4%	25.8%	-10.8%

Standard deviation	8.7%	Sortino ratio	1.30	Downside capture	75.0%
Sharpe ratio	1.11	Beta (Equity)	0.88	Upside capture	88.3%

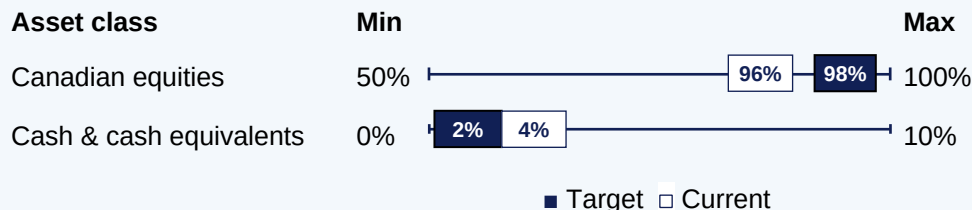
Largest holdings

1. ROYAL BANK OF CDA	7.2%	6. CDN NTL RAILWAY CO	3.8%
2. AGNICO EAGLE MINES LTD	6.4%	7. BK OF MONTREAL	3.6%
3. TORONTO DOMINION BK	5.6%	8. MANULIFE FINL CORP	3.6%
4. ENBRIDGE INC	4.6%	9. ALTAGAS LTD	3.6%
5. CDN NTRL RES LTD	4.3%	10. SUNCOR ENERGY INC NEW	3.4%

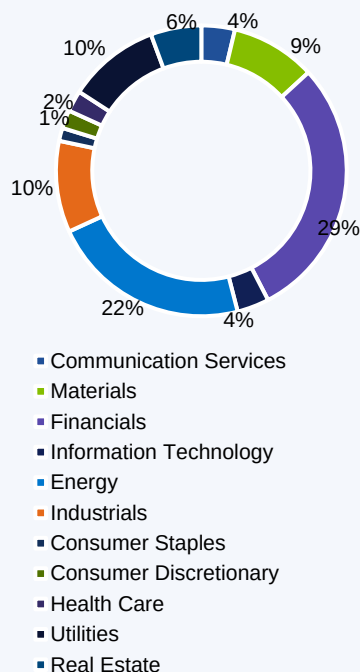
Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
3.9%	29.65	14.93	2.51	2.74	62.36B	38.6%

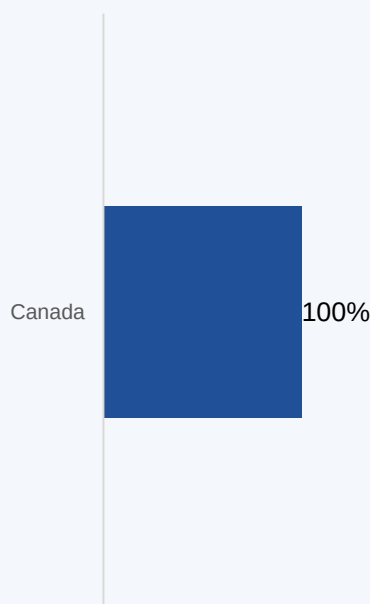
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

The S&P/TSX composite index returned 1.51% in the first quarter of 2025, buoyed by strong performance in the Materials (+20.33%), Utilities (+4.89%), Energy (+2.66%), Communication Services (+2.18%) sectors. The HealthCare (-9.27%), Consumer Staples (-3.24%), Information Technology (-2.23%), Real Estate (-1.71%), Industrials (-0.63), Financials (-0.31%) and Consumer Discretionary (-0.17%) sectors all lagged the broader market. In addition, dividend stocks delivered improved relative performance in the period, outperforming the broader market.

Market sentiment was varied over the quarter as the uncertainty in U.S. trade policy led to increased volatility in the stock market, causing concerns among investors. The Canadian economy entered 2025 in a strong position as growth was projected to increase, led by household spending, investment and exports. Employment numbers exceeded expectations as the unemployment rate fell to 6.6% in January and remained flat through February.

Inflation increased in both January and February, reaching a high of 2.6%. The Bank of Canada (BOC) cut its policy interest rate by 25 basis points twice this quarter, going from 3.25% at the start of the quarter to 2.75%.

While economic growth had been projected to increase going into 2025, the looming tariff threats has led to consumer and business confidence sinking to lows not seen since the outbreak of the COVID-19 pandemic. Despite initial optimism from markets following the election of Donald Trump, the Administration's trade policy has caused economic activity projections to decrease and poor stock market performance (the S&P 500 Index and Nasdaq Composite declined by over 4% and 10% respectively). The Federal Reserve left its interest rates unchanged this quarter at a range of 4.25-4.50%.

The heightened geopolitical uncertainty also struck commodity markets which similarly saw increased price volatility in the first quarter of 2025. WTI oil prices hit a high of \$80.04 per barrel in January and a low of \$66.03 per barrel in March. Metals had varied results in the first quarter with Copper, Gold and Silver increasing over the quarter while Aluminum, Iron Ore, and Steel experienced high price volatility.

The start of the second quarter has been dramatic, with the U.S. announcing broad, and significant, tariffs against a long list of countries. This has caused the equity markets to sell-off (the S&P 500 Index and the Nasdaq Composite fell by an average of 11% in the two days following the tariff announcements). Canada's S&P/TSX Composite has fared better (-8.4%), despite also being a tariff target, which we attribute to having started at a wider valuation discount relative to the U.S. than the historical average, a higher dividend yield, and its natural resources strength.

Looking ahead, we expect continued volatility and uncertainty. President Trump has proven to be very unpredictable and could reverse course at any time. The equity markets could rally should the U.S. moderate its current stance on trade, however, valuations may take time to recover (it will require signs of US policy consistency). Canada's equity markets are more attractive on a relative basis than they have been in recent years as Canada, despite tariffs, has the "stuff" (natural resources) that the U.S. needs to re-shore its industrial base.

Canada's ability to capitalize on this may hinge on the Federal election in late April, pitting the incumbent Liberals against the Conservatives. Economically, the Liberals offer closer to a status quo, while the Conservatives have a growth-oriented agenda via unlocking Canada's vast natural resources and reducing tax burdens.

Price-earnings multiples are once again below the long-term average for Canadian stocks, and remain relatively attractive to US multiples, even with the recent outperformance of Canadian stocks. The Manager continues to see good opportunities in high quality dividend stocks that generate steady and growing income to help ride-out volatile markets and provide good downside protection. As well, they should be further supported as central banks likely lower rates further, albeit the amount of further easing remains uncertain.



GUARDIAN CAPITAL LP

Investment manager overview

Guardian was formed in 1962 and is one of Canada's longest-established, independent investment counselling firms. Over its 50-year history, Guardian has offered its investment management expertise in balanced fund management, equity management and fixed-income management to pension fund clients, institutions, operating and endowment funds, charitable organizations, mutual funds and high net worth individuals. Guardian Capital Inc. is wholly-owned by Guardian Capital Group Limited. The parent company's common and non-voting Class A shares are listed on the Toronto Stock Exchange

Investment philosophy

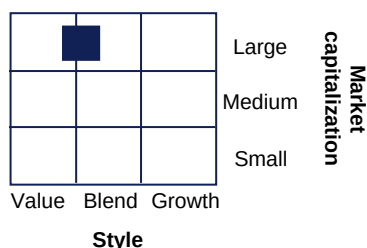
Guardian's Equity Income investment philosophy is built around four key tenants: 1) Focus on Income Generation - income generation is a key driver of our investment process, 2) Focus on Quality - we look for strong business franchises that generate high levels of stable free cash flows exhibiting long term growth potential that can support stable and growing dividends over time, 3) Focus on Risk Management – create risk-controlled portfolios through strict adherence to mandate guidelines and our disciplined investment process, and 4) Focus on Teamwork – a team based approach to portfolio management with clear accountability for decision making.

Investment process and risk controls

The Guardian's approach to Equity Income management is to invest in high yielding Canadian equity securities, including common stocks, REITs and similar equity securities that produce stable, predictable and growing dividends over the long-term. The Equity Income team uses a disciplined approach to portfolio management that blends rigorous fundamental bottom-up security analysis with a top-down overlay, which is implemented through a well-defined three step process:

- The initial phase in the process is to identify the investable universe by applying two screens to the S&P/TSX Composite Index. First, we look at the top 75% yielding securities within the S&P/TSX Composite Index. Then we screen out securities that fall below \$1 billion market capitalization.
- In the second step of the process, the portfolio managers conduct a preliminary analysis of the securities in the investable universe to screen for minimum quality characteristics such as management track record, corporate governance, industry dynamics, and balance sheet. Only companies that meet the minimum standards will move to the next stage of research where we perform a rigorous bottom-up fundamental analysis.
- In this final stage of the process, we bring together our fundamental bottom-up analysis, security valuation work, risk controls, and sell disciplines to construct and maintain the portfolio. In addition, we overlay our top-down view of the economy, commodity prices, interest rates, etc., that can have a material impact on the performance of certain sectors/securities. However, security selection remains the key driver in the portfolio construction process. The final portfolio is constructed within clearly defined constraints to ensure proper risk controls are being applied.

Equity style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ GARP (Growth at a reasonable price)

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

³ Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at March 31, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is S&P/TSX High Dividend TR Index

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